

Making Adjustments

How Much to Adjust?

It's the trickiest part of any valuation process: How much do you adjust for the variations between the subject and comparable properties? That is, the property being sold and properties that have recently sold. The dollar amount of adjustments is dictated by the difference in value each adjustment category makes in the market in which you're working. For example, if an extra garage adds \$5,000 to the value of a property in a given area, a subject property with a one-car garage would see a \$5,000 deduction in value. Appraisers have access to resources that help them make detailed calculations when making adjustments in an appraisal report.

Making the Adjustments

The first rule to remember when making adjustments for price opinions is that you are adjusting the known value of the comps you've selected. Why don't you adjust the subject property, since that's what you're trying to value? Because you don't have a baseline number to adjust as you do with a property that's already sold.

If the comp has an attribute considered to be worth more than the subject property, adjust the comp price down. Seems crazy, right? Look at it this way: You don't touch your subject property-you change the features (and related value) of the comps to make them more similar to your subject property.

Example

Your comparable property has four bedrooms, and your subject property has three. To make the comp more similar to your subject property, you have to take away that extra bedroom (by taking away its value in your calculation).

On the other hand, if your subject property has an attribute the comp property lacks (e.g., a finished basement), adjust the comp's price up. Pretend that you're adding that finished basement to the comp, which raises its value to one similar to your subject property's value.

Let's look at some more examples.

	Subject Property	Comp 1	Comp 2	Comp 3
sales price	—	\$210,000	\$240,000	\$215,000
	3 bed	3 bed	4 bed -\$10,000	3 bed
	2.5 bath	2 bath +\$10,000	2.5 bath	2.5 bath
	gourmet kitchen	gourmet kitchen	gourmet kitchen	standard kitchen +\$20,000
adjusted		\$220,000	\$230,000	\$235,000